

Quarterly Report for Deer Velvet in Korea – Deer Industry New Zealand

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Latitude Inc.

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Innovative Business Support & Promotion

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1 Quarantine statistics of deer velvet from major export countries

These may include hand-carried velvet by tourists. The countries are not countries of origin but export.

Source: National Veterinary Research & Quarantine Service (한국수의과학검역원)¹.

1.1 Dried velvet

Dried velvet (kg)								
Country	2014	2015	2016	2017	2018	2019	2020	2021 (~Mar)
New Zealand	14,293	15,803	33,554	61,815	78,409.8	44,534.6	37,810.6	7,915.2
China	78,296	60,794	68,902	61,972	74,116.5	69,716.2	77,989.8	17,561.7
Russia	34,369	44,523	34,275	50,989	42,131.6	46,449.6	54,042.4	3,640.0
Hong Kong	20,976	14,500	23,115	11,293	15,402.4	17,827.5	13,700.7	3,200.0
Singapore	2,241	0	1	0	0	500.3	0	0
Kazakhstan	1,986	2,035	1,390	1,081	1,270.2	701.0	2,354.0	0
Australia	55	25	19	41	72.9	31.9	26.6	11.0
USA	30	11	12	6	3.0	11.5	5.7	0.9
Others	17	7	4	1.5	3.9	9.1	1.6	0
Total	152,264	137,699	161,272	187,199	211,410.2	179,781.7	185,931.4	32,328.9

1.2 Frozen velvet

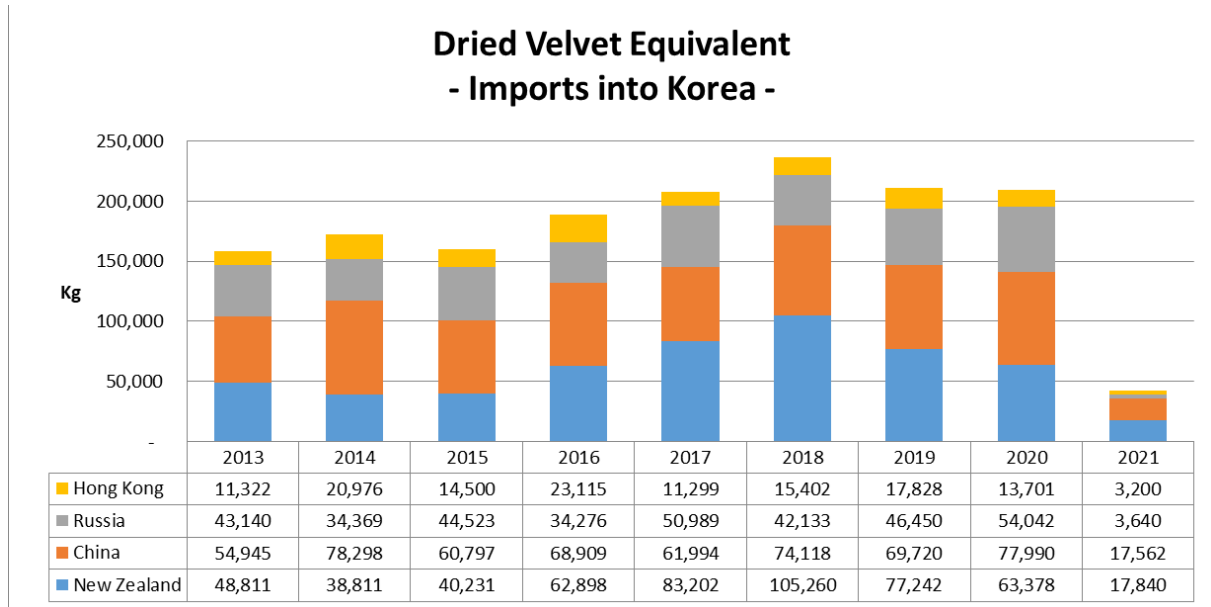
Frozen velvet (kg)								
Country	2014	2015	2016	2017	2018	2019	2020	2021 (~Mar)
New Zealand	74,298	74,025	88,922	64,808.6	81,365.0	99,113.0	77,477.4	30,075.0
China	5.2	7.8	21.6	67.7	6.0	10.2	0	0
Russia	0	0	3.2	0	3.2	0	0	0
Australia	16.6	31.1	33.0	19.6	0	0	0	0.4
USA	0.8	1.3	4.0	0.2	0	0	0	0

¹ <http://eminwon.qia.go.kr/statistics/> (품목-국가별 수출입현황)

Thailand	0	0	0	0	0	1.0	0	0
Others	3	1.8	0.7	3.8	5.3	0	0	0
Total	74,324	74,067	88,985	64,900	81,379.5	99,124.2	77,477.4	30,075.4

1.3 Combined frozen and dried import equivalents

The following graph has been included to give an indication of overall trends in terms of market share. Need to note again that product registered as 'Chinese' will include New Zealand velvet processed in China.



* Dried equivalent: Calculated from frozen at ratio of 33 per cent.

1.4 Rolling year

Dried velvet (kg)			Frozen velvet (kg)		
Country	Apr 2019 - Mar 2020	Apr 2020 - Mar 2021	Country	Apr 2019 - Mar 2020	Apr 2020 - Mar 2021
New Zealand	40,276.9	35,749.7	New Zealand	83,128.2	76,499.4
China	65,262.8	80,023.9	China	7.0	0
Russia	48,318.3	54,475.2	Russia	0	0
Hong Kong	17,802.1	12,644.5	Hong Kong	0	0
Kazakhstan	1,368.0	1,687.0	Kazakhstan	0	0
Australia	28.4	33.5	Australia	0	0.3
USA	10.9	5.2	USA	0	0
Singapore	500.3	0			
Others	9.6	0.4	Others	1.0	0
Total	173,577.3	184,619.4	Total	83,136.2	76,499.7

1.5 Quarantine failure

The following statistics from the NVRQS give an indication of product that has been rejected on import. While 'banned origin' shows only a small volume it is likely that the 'No COQ' would also reflect product that did not have the appropriate documents from the country of export.

Source: National Veterinary Research & Quarantine Service (한국수의과학검역원)².

COQ = Certificate of Quarantine (Phytosanitary Certification)

Sanitary = Sanitary condition violation

1.5.1 Fail - dried velvet

Dried velvet (kg)									
Country	2019			2020			2021 (~Mar)		
	No COQ	Banned origin	Drying defect	No COQ	Banned origin	Drying defect	No COQ	Banned origin	Packaging defect
New Zealand	0.2	0	0	0	0	0	0	0	0.6
China	0	2.1	4.2	0	3.0	0	0	1.4	0
USA	0	11.2	0	0	5.7	0	0	0.9	0
Canada	0	3.2	0	0	1.0	0	0	0.1	0
Japan	0	5.0	0	0	0.4	0	0	0	0
Russia	0	0	0	0	0	0	0	0	0
Others	0	0	0	0	0	0	0	0	0
Total	25.8			10.1			3.0		

1.5.2 Fail - frozen velvet

Frozen velvet (kg)						
Country	2019		2020		2021 (~Mar)	
	No COQ	Banned origin	No COQ	Banned origin	No COQ	Banned origin
New Zealand	0	0	0	0	0	0
China	2.6	7.7	0	0	0	0
USA	0	0	0	0	0	0
Canada	0	0	0	0	0	0
Australia	0	0	0	0	0	0
Russia	0	0	0	0	0	0
others	0	1.0	0	0	0	0
Total	11.2		0		0	

² <http://eminwon.qia.go.kr/statistics> (품목-국가별 불합격수입현황)

2 Company list for velvet imported as a food

The following statistics from the National Food Safety Information website provides data about food importers and products they imported.

Source: National Food Safety Information website (식품안전나라).³

Note that on checking with the Korean Ministry of Food & Drug Safety (MFDS) they said they could not clarify whether 'Deer Velvet' was frozen or dried as this was terminology defined by the exporter (for this data set).

2.1 Importer status

Annual imports of deer velvet by type and importer.

Year: 2021 (~Mar)			
Number of Imports	New Zealand	Russia	Total
Dried deer velvet	4	5	9
DaeWon RTD		1	1
JoEun Pharm		1	1
KGC	1		1
KNC Deertrade		1	1
Jinsoo Deer Co., Ltd.	1		1
Chunho Food	1		1
WooSung (Mr Bang)	1		1
Hannature		1	1
Heungsoo Nogyeong		1	1
Fresh deer velvet	6		6
Handong Herb	1		1
HwaYong Pharm.	2		2
KNC Deertrade	1		1
SamBo (Mr. Kang in Busan)	1		1
Onnuri Bio	1		1
Total	10	5	15

³ http://www.foodsafetykorea.go.kr/portal/safefoodlife/foodimport/importFoodList.do?menu_grp=MENU_NEW04&menu_no=2818

2.2 Exporter status

Number of shipments by exporter based on government statistics as per below.

Year: 2021 (~Mar)				
Month	1	2	3	Total
☐ Russia	2	2	1	5
☐ Dried deer velvet	2	2	1	5
KARYAKINA A.F		1		1
IP SHPILEKOV ALEXEY MIKHAILOVICH			1	1
APPLIED BIOTECHNOLOGY LTD	1			1
APK <<ABAISKY>>	1			1
LTD TEN EXPORT		1		1
☐ New Zealand	4	3	3	10
☐ Dried deer velvet	1	3		4
PAREX INTERNATIONAL LTD	1	1		2
PROVELCO CO-OPERATIVE LIMITED			1	1
XIFENG MINHE DEER PRODUCTS PROCESSING CO LTD			1	1
☐ Fresh deer velvet	3	3		6
TSENGS ENTERPRISES (NZ) LIMITED		1		1
PROVELCO CO-OPERATIVE LIMITED	3	1		4
YIK LUNG TONG (NZ) INTERNATIONAL LIMITED		1		1
Total	6	5	4	15

* Full list is separately provided in Excel file format.

3 Korean news

3.1 Deer velvet market in the fog

Harvesting of deer velvet will begin in 2-3 months, however stocks of deer velvet from the last season are still very high. It is estimated that around 700,000 nyang (26 tonnes) are stored in freezers, as of mid-March. Relevant organizations and deer farmers have been making great efforts to promote and sell the locally produced deer velvet however the stagnation of deer velvet sales has not been resolved.



KDBA Yangrok News, 2021-03-10

3.2 Compensation for economic damage by FTAs

The Korean Ministry of Agriculture, Food & Rural Affairs plans to investigate and select agricultural and fishery products by June which have been economically damaged by the Korea's FTAs with foreign countries and will pay some compensation to eligible farmers and fishermen in November. Korea Deer Breeders Association and its member farmers are trying very hard for the deer velvet to be included in the list.



KDBA Yangrok News, 2021-03-10

3.3 New Chairman for Seoul Herb Market Association

On the 19th of February, the Seoul Yangnyeongshi (meaning herb market) Association held an inauguration ceremony of the 11th Chairman Woljin Kim at the Seoul K-Medi Center. Chairman Kim's term of office is from February 2021 to January 2024. He is the president of Yongbo Pharm, a deer velvet importer.



AKOM News, 2021-02-19⁴

3.4 Music audition shows

A cable TV channel called TV Chosun has held a series of very popular music audition shows – i.e. Miss Trot in 2019, Mr. Trot in 2020, and Miss Trot 2 in early 2021. Interestingly these shows have had something to do with deer velvet and deer.

Mr. Youngwoong Im, the winner of Mr. Trot has been working as a TV advertisement model for Pyunkang Goojeon Nogyeong (which uses Russian deer velvet) since the middle of 2020, and Mr. Minho Jang, who won sixth place, is called a deer. There were rumours that the Korea Deer Breeders Association wanted to use Mr. Minho Jang as their model. During the recent Miss Trot 2 audition which lasted around three months until mid-March, there was a group competition, and the name of a group was “Nogyong sisters” who were very popular.

⁴ http://www.ekomnews.com/bbs/board.php?bo_table=news&wr_id=43420

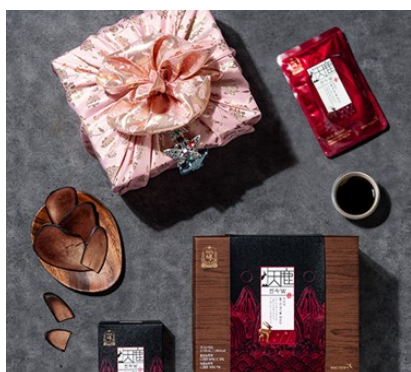


4 News related with product

4.1 KGC's renewed Cheon-Nok products

On the 18th of March, KGC announced that their premium deer velvet brand "Cheon-Nok" was renewed. The deer velvet contents were increased by 28% compared to the existing products, but the prices remained the same for the following four products, "Cheon-Nok Jeong" (extract in bottle), "Cheon-Nok Jeong Pyeon" (stick-type product of "Cheon-Nok Jeong"), "Cheon-Nok Ton" (liquid pouch product), and "Cheon-Nok W" tailored for women.

Since its launch in 2014, Cheon-Nok has continued to grow by an annual average of 175%, surpassing KRW 300 billion (approx. NZD 380 million) in 2020. Cheon-Nok uses only 100% of SAT (Super A Traditional) grade deer velvet, grown in the natural environment.



E-daily News, 2020-03-18⁵

4.2 'Kim O-gon Nokyong Hongsam Bo' by 'Gaesung Insam Nonghyup'

- Deer velvet extract product
- Packaging and price: KRW79,000 for 2 boxes (70ml x 60 pouches)
- Major ingredients: Herbs, ginseng, and deer velvet from New Zealand
- Dr Kim O-gon is a celebrity Oriental Medical doctor.

⁵ <https://www.edaily.co.kr/news/read?newsId=02122166628984632&mediaCodeNo=257&OutLnkChk=Y>



Naver Smart Store⁶

4.3 'Taehwang CheonJin Dan' by 'Chunhoncare'

- Aloeswood and deer velvet ball-type product
- Packaging and price: KRW1,000,000 for 1 box (4.5g x 30 balls)
- Major ingredients: Aloeswood from Indonesia, red ginseng, and deer velvet from New Zealand



Energy Economy, 2021-01-14⁷

Chunho Mall⁸

4.4 'Cheonsim Hwan' by 'Cheon Sim Won'

- Aloeswood and deer velvet ball-type product
- Packaging and price: KRW158,000 for 1 box (4g x 15 balls)
- Major ingredients: Aloeswood from Indonesia, herbs, and deer velvet from Russia

⁶ <https://smartstore.naver.com/iqshop/products/5336686510?NaPm=ct%3Dkmypl0f4%7Cci%3D0A40002azAjuOWG%2DJv30%7Ctr%3Dsa%7Chk%3D2823a0f313d22aa5d67f0d528665754e6d153f75>

⁷ <https://www.ekn.kr/web/view.php?key=20210114010003056>

⁸ https://www.chunhomall.com/product_view/PBP2101004



Segye Biz, 2021-02-08⁹
CheonSimWon website¹⁰

4.5 'Hav'eat Chimhyang Hwan' by 'Lotte Mart'

- Aloeswood and deer velvet ball-type product
- Packaging and price: KRW79,800 for 1 box (3.7g x 100 balls)
- Major ingredients: Aloeswood from Indonesia, red ginseng, and deer velvet from New Zealand
- Hav'eat is Lotte Mart's private brand name.



KPI News, 2021-02-04¹¹

4.6 'Sipjeon Nogyong Hongsam' by 'Horang Nabi Life & Health'

- Red ginseng and deer velvet extract product
- Packaging and price: KRW198,000 for 2 boxes (50ml x 30 pouches)
- Major ingredients: Red ginseng, and Russian deer velvet powder 0.03% and New Zealand fermented deer velvet concentrate 1.7% (solid component 17%)

⁹ <http://www.segyebiz.com/newsView/20210208506920?OutUrl=naver>

¹⁰ http://www.cheonsimwon.com/goods/goods_view.php?goodsNo=1000000173&mtn=8%5E%7C%5EPRODUCT%5E%7C%5En

¹¹ <http://www.kpinews.co.kr/news/articleView.html?idxno=136983>



Kuki News, 2021-02-19¹²

Arambi Store website¹³

4.7 'Goojeon Jeongkyung Booin' by 'Pyunkang Oriental Medicine Research Center'

- Deer velvet extract product for menopausal women
- Packaging and price: KRW220,000 for 1 box (50ml x 30 pouches)
- Major ingredients: Herbs, pomegranate, and deer velvet from Russia



Yakup News, 2021-03-11¹⁴

PK Mall¹⁵

4.8 'Chimhyang Bichaek' by 'SD H&B'

- Aloeswood and deer velvet ball-type product
- Packaging and price: KRW550,000 for 1 box (4g X 30 balls)
- Major ingredients: Aloeswood, herbs, and deer velvet from New Zealand

¹² <http://www.kukinews.com/newsView/kuk202102190296>

¹³ https://arambi.kr/product/detail.html?product_no=1533&cate_no=96&display_group=1

¹⁴ <http://www.yakup.com/news/index.html?mode=view&cat=15&nid=255115>

¹⁵ https://www.pkmall.co.kr/shop/item.php?it_id=1614131676



ET News, 2020-11-10¹⁶
SD H&B website¹⁷

4.9 'Mum' by 'Hurum'

- Deer velvet powder product for children
- Packaging and price: KRW29,800 for 1 box (3grams x 30 sticks)
- Major ingredients: Herbs, Manuka honey and deer velvet from New Zealand



Medical Today, 2021-02-08¹⁸
Hurum Shop website¹⁹

4.10 'Kids Junior Hongsam' by 'Chong Kun Dang'

- Red ginseng and deer velvet extract product
- Packaging and price: KRW30,000 for 1 box (20ml x 30 pouches)

¹⁶ <https://www.etnews.com/20210312000144>

¹⁷ http://www.sdhnb.com/chimhyangbichaek/?utm_source=naver&utm_medium=brand_pc&utm_campaign=chimhyang

¹⁸ <http://www.mdtoday.co.kr/mdtoday/index.html?no=413924>

¹⁹ https://www.hurumshop.com/goods/goods_view.php?goodsNo=1000001036

- Major ingredients: Red ginseng, herbs, and deer velvet from New Zealand
- Sold from Costco Korea stores.



Jose Ilbo, 2021-03-15²⁰

²⁰ <http://www.joseilbo.com/news/htmls/2021/03/20210315419127.html>